ThermaShift - Commercial HVAC energy retrofit services

Executive Summary

We retrofit aging commercial HVAC systems in 20,000-100,000 sq ft buildings, financed through shared-savings contracts. Three pilot buildings completed with an average 27 percent energy reduction.

Problem

Mid-size building owners face rising energy costs and lack capital for retrofits. Utility rebates and the available tax incentives cover 25-40 percent of project costs but are complex to claim.

Market

Our service region has about 1,900 qualifying buildings built before 2005. Serviceable market is estimated at 400M USD in retrofit spend over 5 years. Competitors are large mechanical contractors who rarely serve mid-size buildings and do not offer shared savings.

Business Model

Fixed-fee installation with option of shared-savings financing: we take 60 percent of verified savings for 7 years. Pilot data: average project cost 210,000 USD, annual savings 48,000 USD, so payback for the financing partner is about 5 years with 18 percent IRR. Project financing is committed by a regional bank for 3M USD.

Financials & Funding Ask

Seeking 750,000 USD for working capital and two crews. Year 1: 8 projects, 1.7M USD revenue, 9 percent net margin; year 3: 30 projects. Assumptions and savings measurement methodology (IPMVP) are documented in appendix.

Team

Founder is a licensed mechanical engineer (PE) with 15 years at an HVAC contractor. Operations lead is a former utility efficiency program manager.

Risks

Savings verification disputes, interest-rate changes affecting financing; mitigated by third-party M&V and fixed-rate bank facility.